

There are a lot of people like that. There are a lot of people that if you listen to their ideas, you can make more money off their thinking than they can. I troll around. It's a treasure hunt for information. I talk to lots of people. Every now and then, someone says something, and I know I'm going to make much more money off of it than they will. There's a big difference between shooting wine glasses at 20 yards and shooting a wine glass pointing a gun back at you.

I want guys who when they put on a good trade immediately start thinking about what they could put on against it. They just have the paranoia. Market makers get derailed in crises far less often than analysts. I hired an analyst one time who was a very smart guy. I probably made 50 times more money on his ideas than he did. I hired an economist once, which was the biggest mistake ever. He lasted only a few months. He was very dogmatic. He thought he was always right. The problem always comes down to ego. You find that analysts and economists have big egos, which just gets in the way of making money because they can never admit that they are wrong.

What percent of the people you give money to work out?

A very high percentage. Market makers are just reliable. One trader who didn't work out was the fixed-income analyst I mentioned before—the only analyst I hired. I really liked him, and I made a lot of money on his ideas, but he couldn't keep his car on the road.

Maybe you should have kept him on just for his ideas.

I would actually have been happy to have him stay, but he just got too disillusioned. He decided he just wanted to be a schoolteacher and get some sense of accomplishment by doing social good.

So what was his failing? Did he get the trends right, but couldn't trade?

He was very good at identifying relative value opportunities and mispricings, but he had no idea about macro. You can be as smart as you like about analyzing instruments, but there is no hedge against being wrong. If you think rates are going up when they're going down, I don't care what trade you've done, you're going to lose money. You might lose